FX FOMC post-mortem

Staying long-USD despite renewed inflation risk premium

Global FX Strategy

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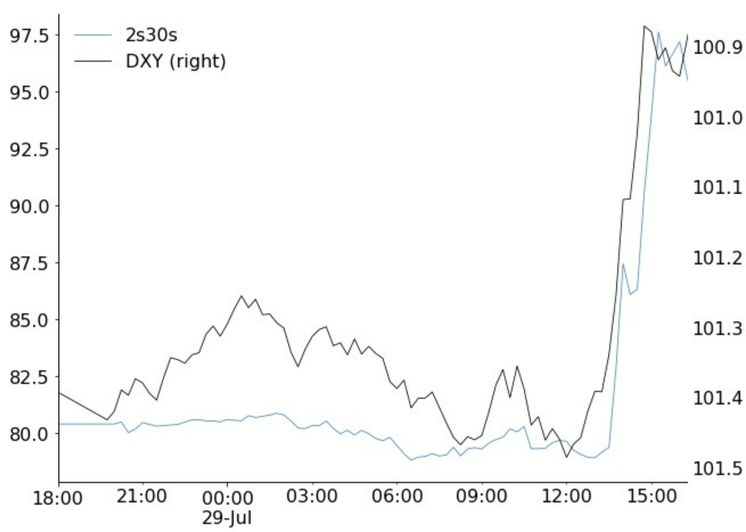
- **Wednesday was a material setback for the dollar, but it's not the end of the long-USD trade just yet.**
- **While there were hawkish components at the outset and in prepared remarks, elements of the press conference reintroduced concerns around the Fed's credibility in lowering inflation, according to our economists.**
- **That manifested in a major twist steepening in 2s30s, which mirrored the aggressive USD sell-off through the press conference as FX embedded credibility and inflation risk premium (Figure 1).**
- **This is consistent with the dollar's behavior both in discrete episodes (July 2025) and more broadly, where lower short-end rates & higher long-end rates routinely result in USD weakness.**
- **Fed credibility concerns would favor currencies with rate sensitivity like SEK and pose spillover risks to currencies with beta to long end bonds like GBP. But this is not a go-with view and we remain short SEK.**
- **The dollar does have offsets. We think the committee will act to ensure credibility with a hike in Dec; Sept is live and data-dependent. Short-end rates repricing has not eroded enough to really damage USD's carry insulation. Iran is providing renewed ToT support.**
- **We therefore stay long-USD vs a basket of G10 low-yielders (EUR, CHF, SEK, CAD, NZD).**

Figure 1: USD weakness matched the contours of 2s30s twist steepening

LHS: 2s30s; RHS: DXY (inverted)



Source: J.P. Morgan, Bloomberg Finance L.P.

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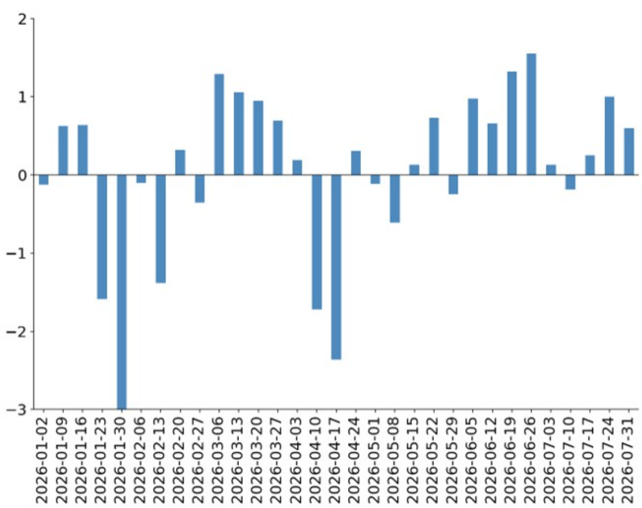
Inflation risk premium rears its head and drags USD lower - but the long-dollar trade still has other supports

Wednesday was a material setback for USD, but it's not the end of the long-dollar trade just yet. We saw upside risks to the dollar into the FOMC this week, reflecting the serial rise of hawkish Fedspeak in recent weeks and the subsequent potential for material dissents. The 2pm release delivered three dissents with hawkish prepared remarks (here, here), ostensibly meeting our dollar-bullish bar. Yet the dollar nevertheless sold off - in part reflecting very last-minute whispers about a hike actually being delivered, and accompanying last-minute demand for USD topside protection (Figure 2, Figure 3).

Figure 2: USD topside demand has been positive the last few weeks into the FOMC, adding some tactical risk to the dollar from Fed underdelivery

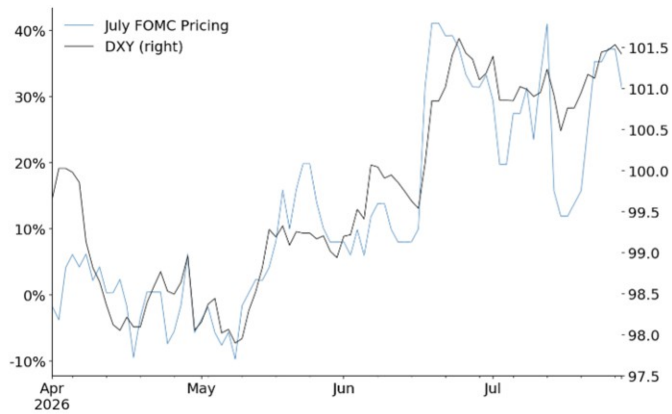
USD net options flow (calls less puts, notionals) (5Y z-score)



Source: J.P. Morgan, DTCC

Figure 3: The last week's sharp repricing of July FOMC expectations also added tactical risk and positioning to the long-dollar trade

LHS: Priced hikes for July; RHS: DXY. Through 28 July.



Source: J.P. Morgan

More problematic for the dollar, however, was the press conference that ushered in renewed institutional credibility concerns and attendant spikes in inflation risk premium for USD. The press conference saw the Chair 1) cast doubt on the future of PCE as the Fed's inflation target, 2) fail to articulate how to achieve inflation targets, 3) provide only limited color on the nature of the dissents, and 4) place a considerable emphasis on the markets having repriced in the intra-meeting period. The net result of these **"raise questions about the new chairs's credibility in delivering lower inflation," according to our economists** (M. Feroli, *That's incredible!*), and "reduced confidence in the Fed" per our rates strategists (J. Barry, *Talk is cheap*).

Consistent with this, the dollar sold off in parallel with the extraordinary twist steepening. As our US Rates Strategy colleagues point out, there was a +15bp end-to-end twist steepening on the day, the largest single-day curve move on an FOMC day over the last ten years (see again here). Figure 4 shows that **that steepening** (short-end down, long-end up to post-2007 highs) **correlated exactly with the more aggressive USD sell-off throughout the press conference**. Alongside a spike of+4-7bp jump in breakevens, the dollar sold off on increased inflation risk premium, akin to past instances we observed when Fed independence was questioned (eg in July 2025,

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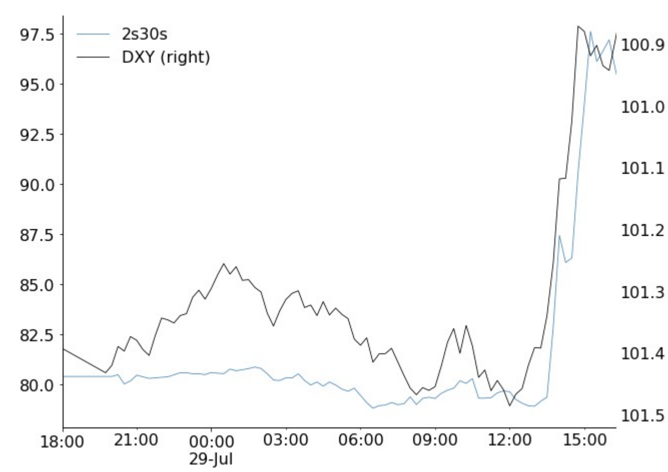
following rumors of Chair Powell's dismissal - see *FX Markets Weekly*). More broadly, this is consistent with our empirical findings on term premium that over time, twist steepening is a particularly-negative dollar outcome (Figure 5). Note that our rates colleagues have initiated a 5Yx5Y inflation swap widener, given risks of long-run inflation expectations becoming partially unanchored.

Inflation breakevens rising while real yields fall is a corrosive combination for the dollar on any Fed credibility concerns, albeit starting from a supportive base given the run-up in real yields pre-FOMC. The evolution of the dollar should still be data dependent though, so the next payrolls print delivering firm would still allow the dollar to strengthen, but if the release is on the soft side that would clearly weigh further on the dollar.

Figure 4: USD weakness matched the contours of 2s30s twist steepening

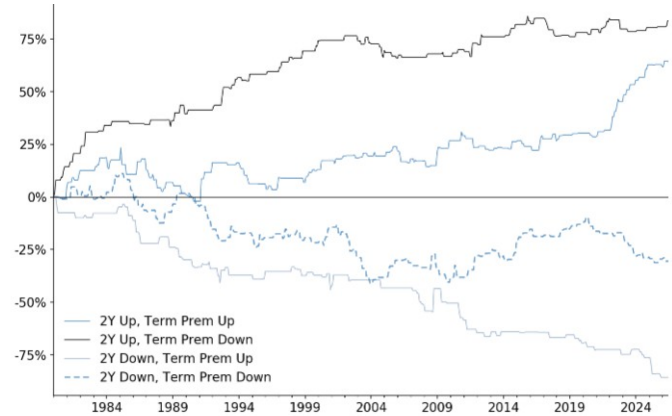
LHS: 2s30s; RHS: DXY (inverted)



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 5: We've shown in the past that USD rarely fares well when short-end rates move lower, and longer-end rates move up

Cumulative USD returns (monthly) in various rates scenarios.



Source: J.P. Morgan

In terms of broader G10 currencies, risks of potential GBP and JPY underperformance would rise if the increase in US term premium due to Fed credibility concerns started to spill over into weakness in long-end bond markets more globally, though this is not our base case. GBP and JPY are markets where long-end bonds can apply fiscal risk premium to the currency, given the focus on fiscal policy for those economies. The gold price can act as a barometer for the dollar in terms of any reintroduction of the debasement trade associated with a rise in term premium. **For euro, the Fed credibility risk can slow a full convergence down to fair value but shouldn't alter the direction of travel weaker for the currency, in our view.** A more dovish Fed reaction function, where Warsh is dismissive of inflation, would favour G10 currencies with pronounced rate sensitivity, a faster pass through of rates to the economy, and solid fiscal policy, like SEK. However, overall we still see the backdrop for US yields, the US data flow, energy prices and the broader carry-friendly regime as supportive for the dollar, with our favoured expression being the long USD vs low yielder basket (EUR, SEK, NZD, CAD, CHF) which we are actively recommending.

Finally, there are still supports that should help stem the dollar bleeding, and we ultimately recommend holding the dollar-long position despite this week's

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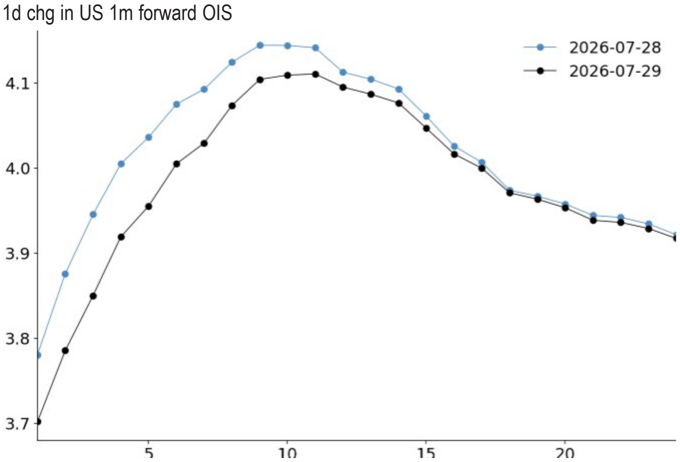
developments. Reasons for which include:

- **We've actually moved forward our Fed call.** While the risk premium for a hike in September has fallen, we're still upgrading our call for the next Fed move; we now look for a hike in December. In part, this reflects the FOMC feeling compelled to **"act to maintain its credibility,"** per our economists, which would help mitigate any related risk premium in USD.
- **And September is still very much live.** With little new on the reaction function, data reigns supreme, and our economists again note September is live if inflation heats up again, meaning **data dependence can revive USD upside**.
- **Consistent with this, the short-end rate differential erosion was not that extreme**. US 1m forward OIS (<1Y) only fell by an average of only ~5-6bps throughout the FOMC meeting, while the market still prices terminal +50bp above current rates (Figure 6). That **positive slope and still-solid carry implications should provide USD some layer of insulation** from more aggressive selling (assuming the long-end settles).
- **Data still remain pretty solid overall.** Indicators like initial claims are still constructive for the USD, and an underappreciated support despite not featuring frequently in the press conference.
- **Iran is heating up again.** USD should gain support from energy price and geopolitics-related risk-off, alongside the refreshed ToT support should the conflict persist.
- **Global equity weakness would support USD.** While the dollar is overshooting relative equity performance (Figure 7) and a US-led AI equity sell-off has mixed implications, a broader global-led equity sell-off would engage the USD's anti-cyclical propertiesFigure 7; we've noted in the past that a ~5.5% global equity sell-off is consistent with roughly +1% in the USD TWI over the last decade.

Figure 6: While short-end US yields are lower, terminal is not significantly changed, reaffirming USD's carry supports

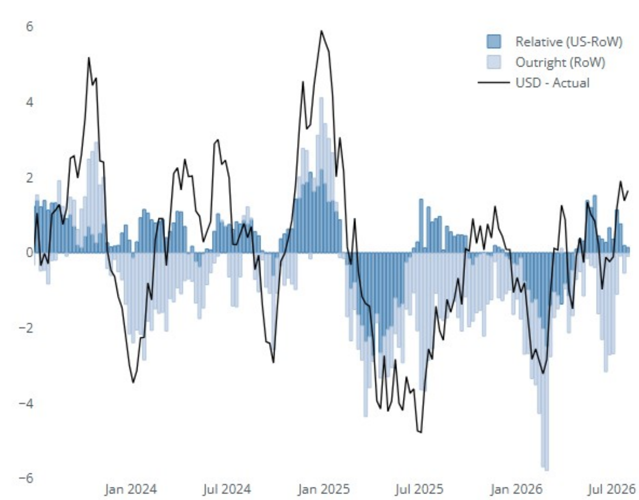
1d chg in US 1m forward OIS



Source: J.P. Morgan

Figure 7: A worsening risk backdrop could become more dollar-positive

Contributions to USD TWI from two-factor equity model. 3m % changes all.



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